EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Sanchez Mira is a third-class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a visita of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2024 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Sanchez Mira, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	688,256,455.45	555,995,298.79	132,261,156.66
Liabilities	208,731,054.53	78,675,120.61	130,055,933.92
Government Equity	479,525,400.92	477,320,178.18	2,205,222.74
Financial Performance			
Income	185,873,426.12	173,253,578.66	12,619,847.46
Expenses	191,838,246.97	173,518,437.53	18,319,809.44
Net Income	(5,964,820.85)	(264,858.87)	(5,699,961.98)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Improvement/Upgrading of Local Access Road/Canal	8,575,907.02
Rehab/Improvement of Multi-purpose Building/Evacuation Center	12,052,177.54
Provision of Street Lights	2,698,352.39
Water Treatment Facility at slaughterhouse	874,273.93
Improvement of Sanitary Landfill(Construction of New Cell)	2,514,923.78
Purchase of heavy equipment (Boom truck)	2,600,000.00
Small Water Impounding Project-On going	50,889,133.46
Total	**80,204,768.12**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered an Unmodified Opinion on the fairness of the presentation of the financial statements of the LGU of Sanchez Mira, Cagayan as at December 31, 2024.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. LDRRMF amounting to P28.708 million was not optimally utilized to implement disaster related programs, projects and activities incorporated in the LDRRM Investment Plan, resulting in utilization rate of 59% or P16.83 million, thereby defeating the objective of the fund, which is to enhance the disaster preparedness and response capabilities of the Municipality.

   We recommended that the Local Chief Executive enjoin the Municipal DRRM Officer and other concerned implementing offices to fully utilize the fund and implement all budgeted programs, projects and activities identified in its Local Disaster Risk Reduction and Management Investment Plan.

2. Inter-agency Receivables amounting to ₱0.519 million remain dormant for almost ten(10) years, contrary to Section 6 of COA Circular 2023-008 dated August 17, 2023, thus affecting the accuracy and reliability of Financial Statements.

   We recommended that the Management:

   - Advise the Accountant to conduct regular and periodic verification, analysis, and validation of the existence of the receivables, unliquidated cash advances, and fund transfers.

- Initiate the request for a write-off of the Inter-agency Receivables that remain non-moving for almost ten (10) years or more in the books, in accordance with COA Circular 2023-008 dated August 17, 2023.

G. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	**-**	**-**	**-**	-	-
Current Year	**-**	**-**	**-**	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (7) audit recommendations in the CY 2023 Annual Audit Report, six (6) were implemented and one (1) was partially implemented.